



Sanlam Kenya Full Year 2016 Group Financial Results March 2, 2016

2nd March 2017



Overview of the Sanlam Group



Where Does Sanlam Operate



Coverage

34 countries in Africa

Key Metrics

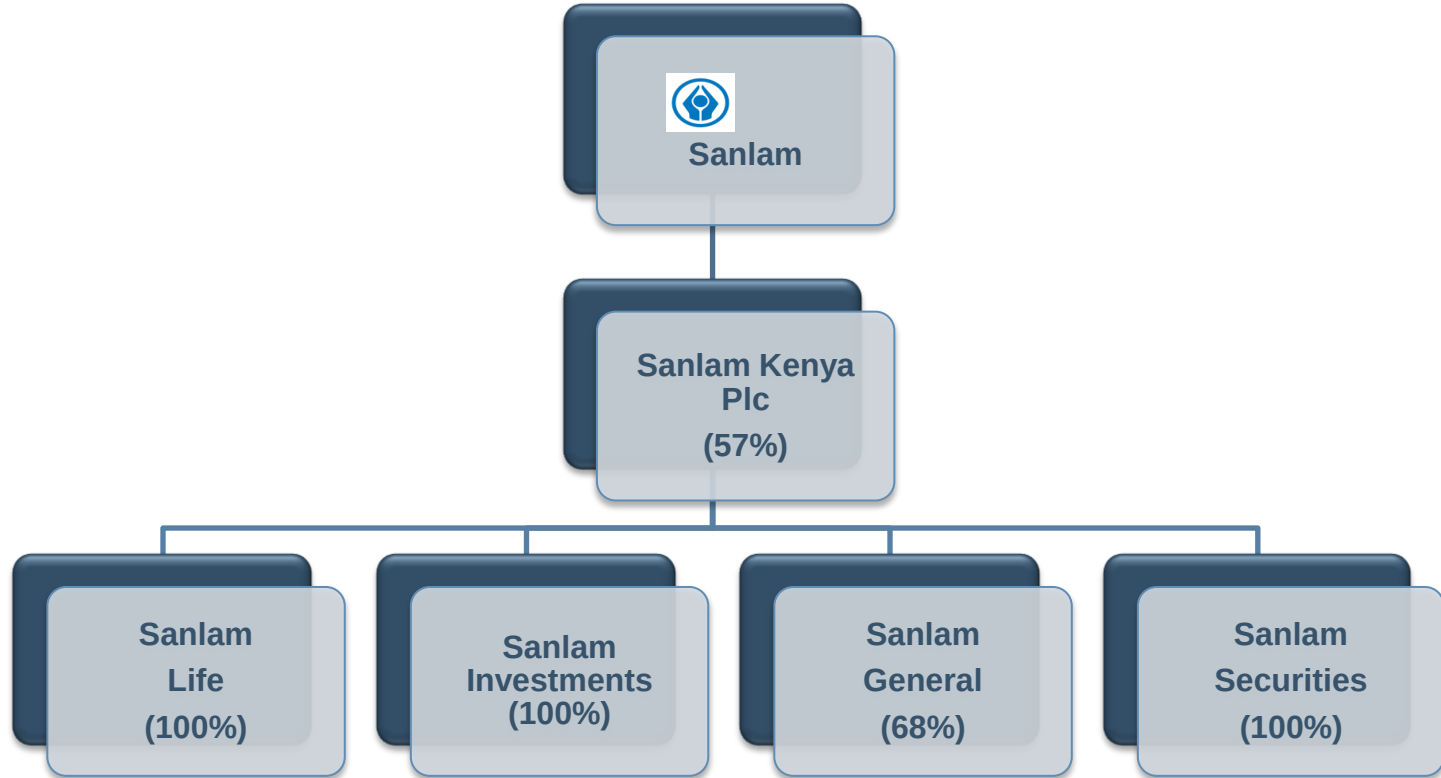
market capitalisation
(US \$9 billion)

Employees
14 711

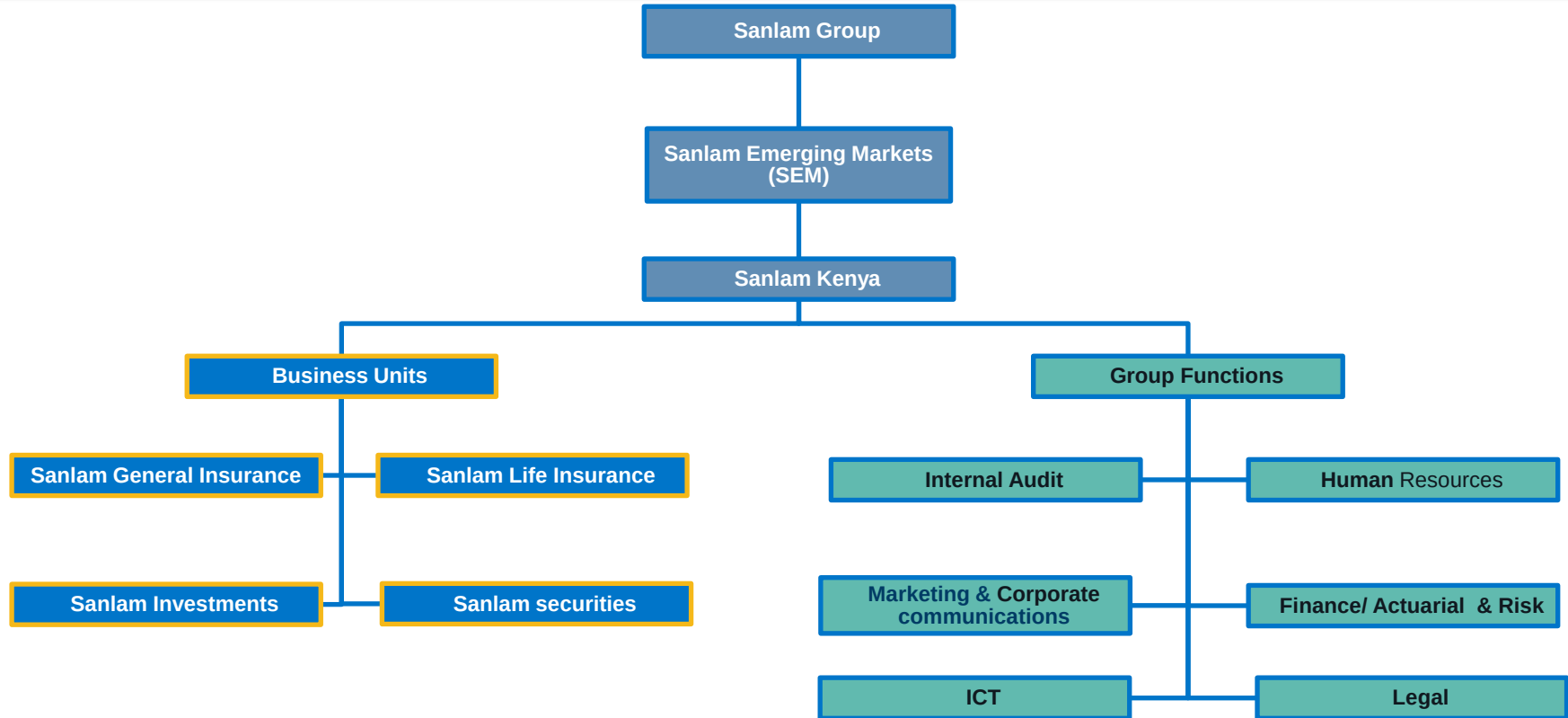
Total AUM
(US \$50.8 billion)

Shareholders
476 165

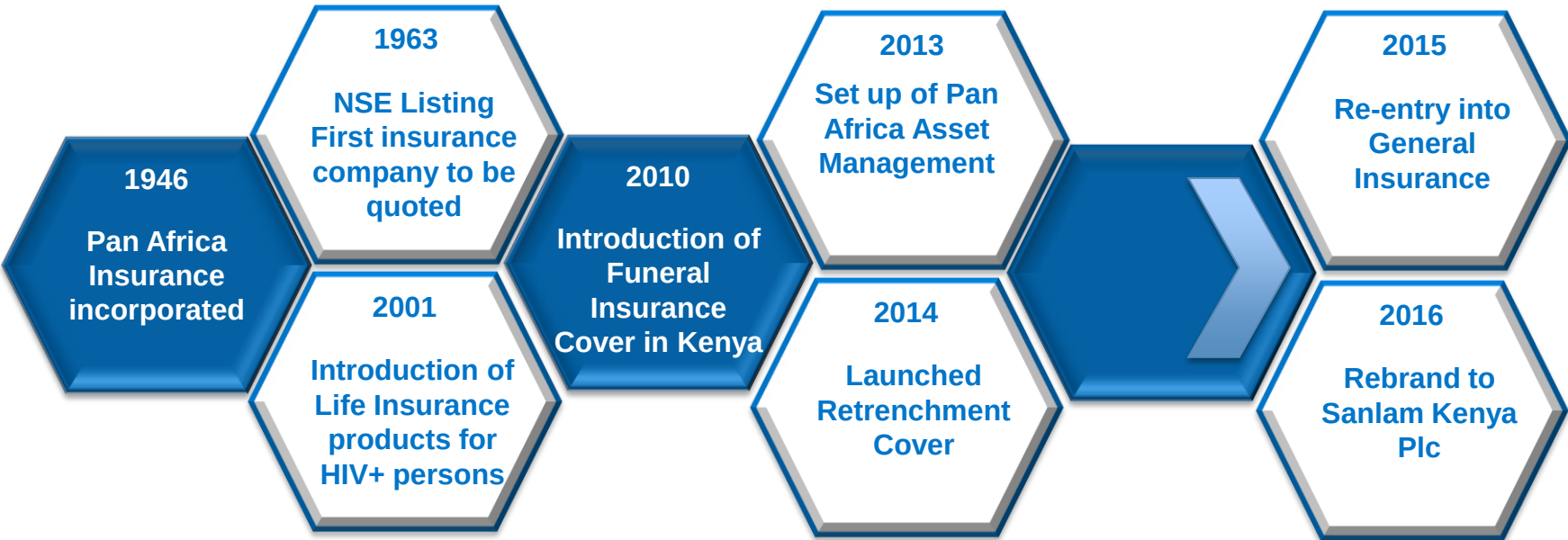
Sanlam in Kenya



Sanlam Kenya structure



Key Milestones: Our journey so far



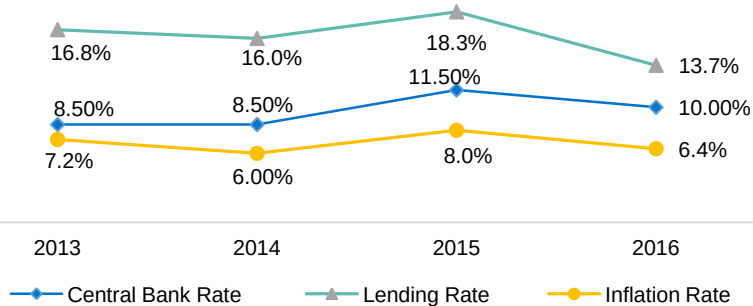
Situation analysis



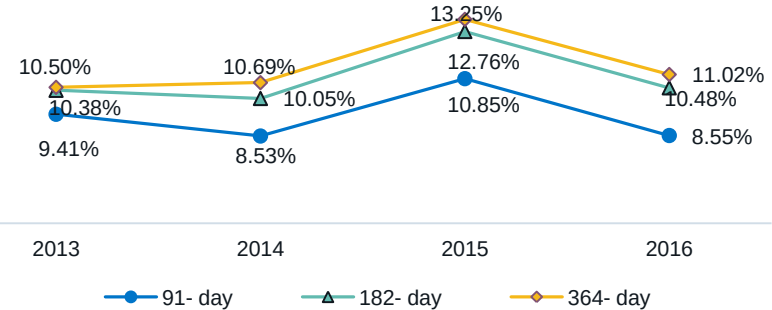
Macroeconomic environment



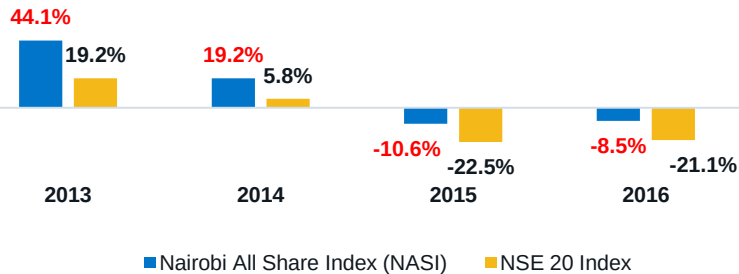
Interest Rates (2013-2016)



T-Bill Rates (2013-2016)



NSE Indices (2013-2016)



KShs Performance (2013-2016)

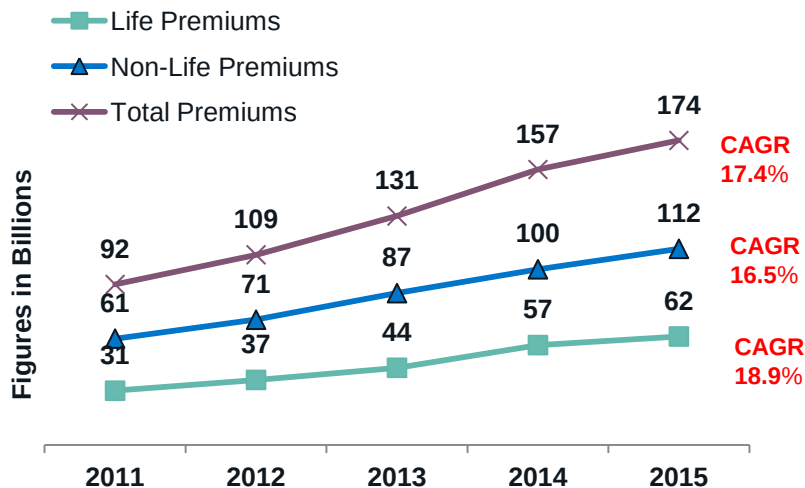
	USD	GBP	Euro	Rand
2013	-0.30%	-2.40%	-4.80%	22.60%
2014	-4.70%	1.00%	8.20%	6.20%
2015	-11.40%	-7.10%	-1.40%	18.40%
2016	-0.20%	21.00%	4.40%	-11.00%

Industry operating environment

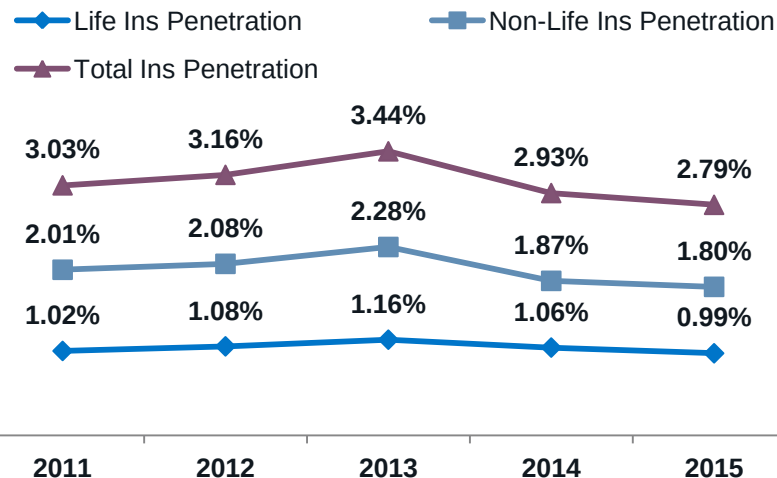


Industry GWP growing at a CAGR of 17.4%

Industry GWP



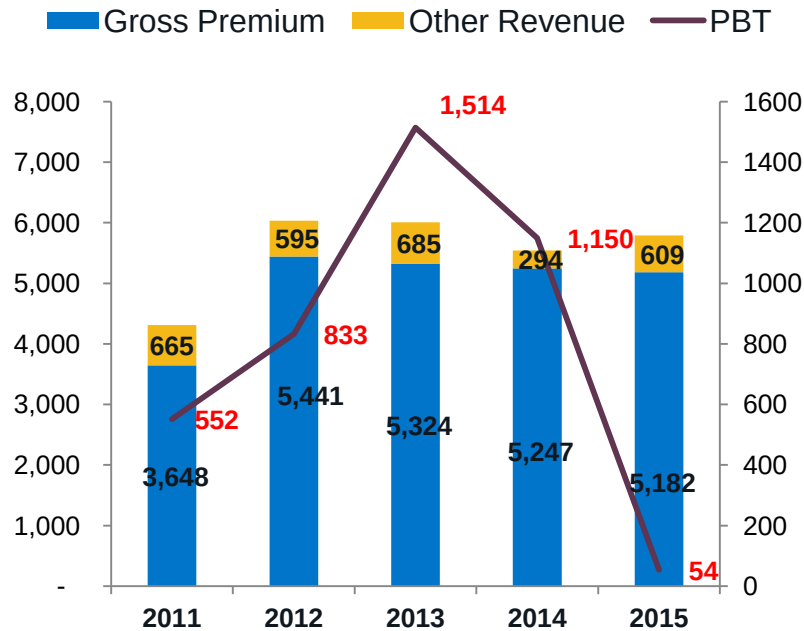
Penetration rate



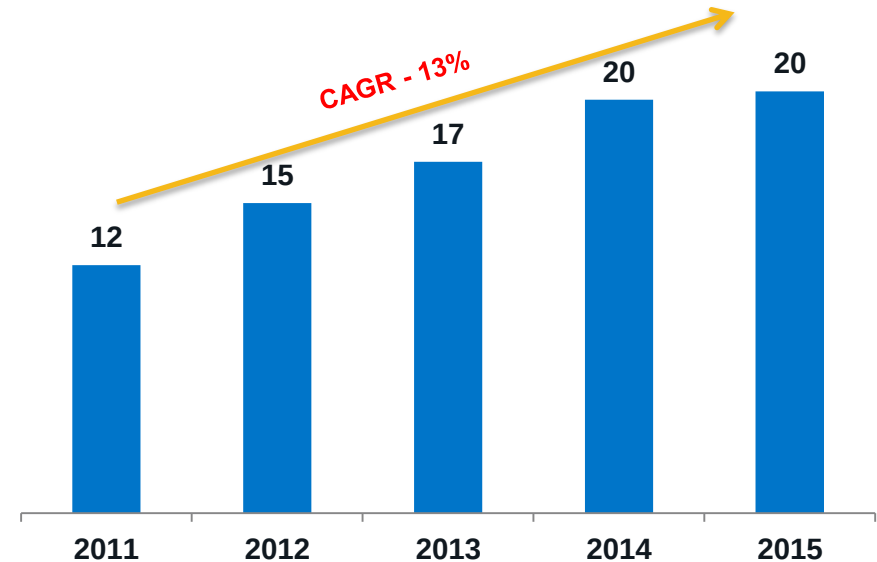
Situation analysis: Historical performance



Group Revenues & PBT (KShs M)



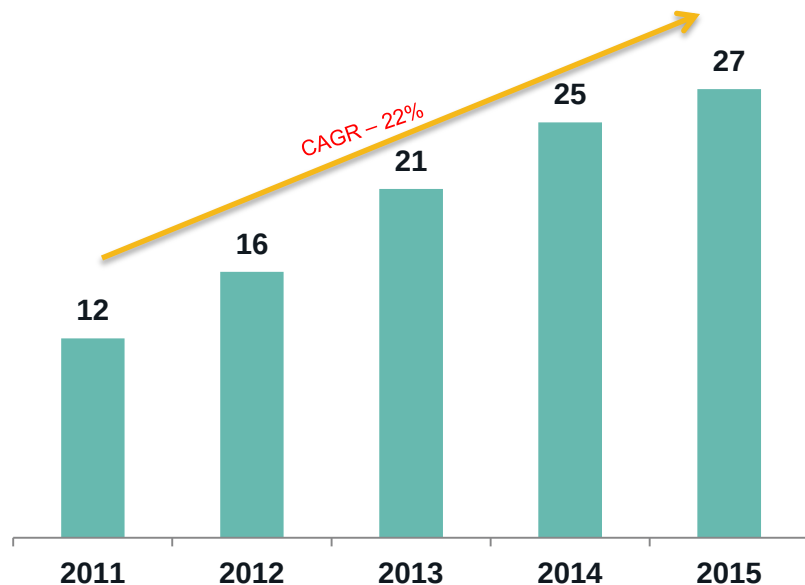
Policyholder Assets (KShs B)



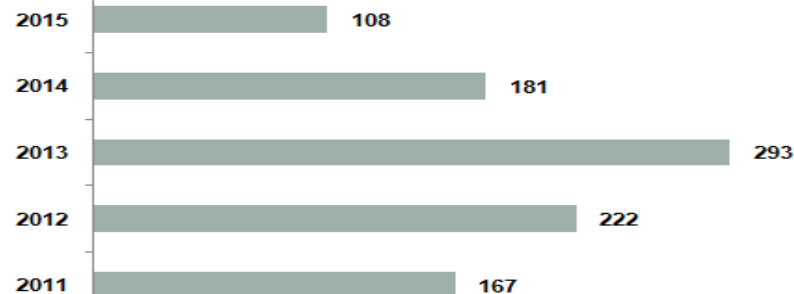
Situation analysis: Historical performance



Total Assets (KShs B)



Net VNB (KShs M)



Key Business Ratios

	2012	2013	2014	2015
Basic earnings / (loss) per share	6	13	6	(0.43)
Dividends per share	3	5	-	-
Market capitalisation - Year end (KShs. m)	3,864	8,640	11,520	8,640

Situation analysis: Strategic history



The company

- One core business line & land bank
- Dominated lower middle income
- Single channel distribution
- Focus on IL & Annuity lines
- Low brand equity



The Market

- Mergers and acquisition
- New distribution channels
- Industry diversification
- Regulatory changes
- Favourable demographics
- Mobility and internet access
- Infrastructure/ international trade



Strategic gaps

- Undiversified revenue sources
- Customer retention
- Intermediary relationships
- Misalignment with growth segments
- Brand visibility
- Market share



Growth drivers

- Diversified revenue sources
- Multi-channel distribution
- Product portfolio
- Innovation
- Customer focus
- People and Operational capacity
- Regulatory compliance

The new direction



Strategic focus



1. New group structure

- ⊗ Align opportunities and resources across the group

2. New growth opportunities

- ⊗ New distribution channels
- ⊗ Customer segments and partnerships
- ⊗ Product diversification

3. Strengthening operational capacity

- ⊗ Adopt a Target Operating Model to create capacity to pursue growth opportunities and better serve target customer segments:
People – Process - Technology - Brand

2016 highlights



- Roll out of new strategy
- Successful rebranding to Sanlam
- Integration and restructuring of the general insurance business
- Attained stability Life Administration system
- Diversified into new customer segments and partnerships
- Restructured agency distribution, enhanced key intermediary and bancassurance relationships



2016 Financial performance



Group Statement of Comprehensive Income

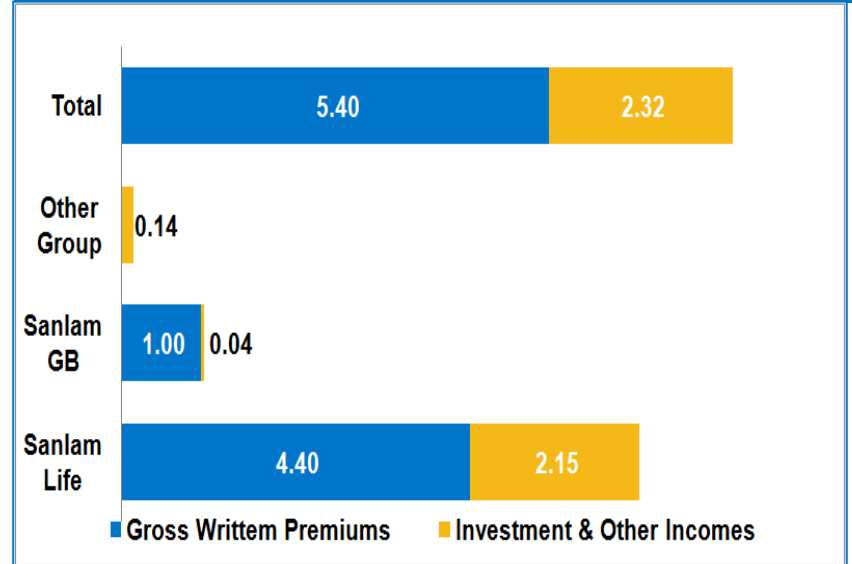


PBT growth driven by improved GI & investment performance and reduction in expenses

KShs' M	2016	2015	Growth
Gross premium income	5,225	5,182	1%
Net Premium income	4,832	4,797	1%
Investment Income	1,975	1,755	13%
Other incomes	347	689	-50%
Total Revenues	7,154	7,240	-1%
Net benefits and claim paid	(4,478)	(4,257)	5%
Expenses and commissions	(2,358)	(2,929)	-19%
Profit before tax	317	54	485%
Tax	(246)	(27)	814%
Profit after tax	71	27	160%
Other comprehensive income	23	-	0%
Total comprehensive income	94	27	348%

98% of Group revenues generated from core insurance businesses

Group Revenue Distribution (KShs 'B)



Group Statement of Financial Position

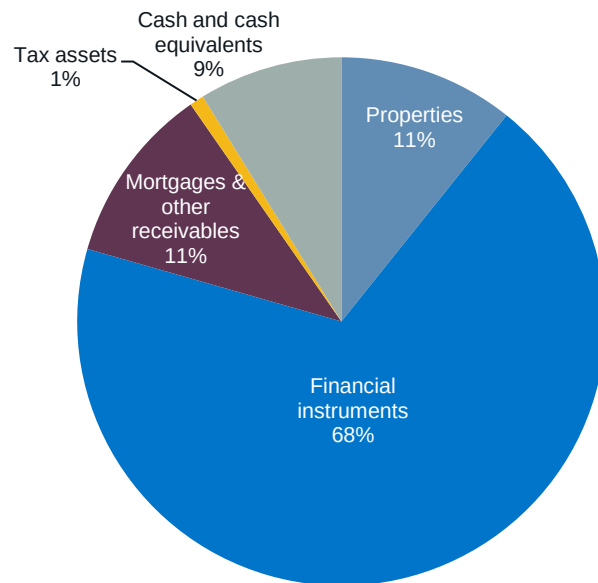


5% Growth in Total Assets driven by growth in invested assets

KShs ' M	2016	2015	Growth
Properties	3,055	2,939	4%
Deferred tax	183	170	7%
Financial instruments	19,508	18,189	7%
Mortgages and other receivables	3,135	1,868	68%
Current tax	66	27	140%
Cash and cash equivalents	2,497	3,916	-36%
Total Assets	28,443	27,109	5%
Capital and reserves	3,932	3,802	3%
Policyholder liabilities	20,358	19,667	4%
Payables under DA Contracts	1,489	1,435	4%
Deferred Tax	844	655	29%
Other payables	1,819	1,550	17%
Total Equity and Liabilities	28,443	27,109	5%

68% of assets invested in financial instruments

Asset Distribution (KShs 'B)





Other financial metrics

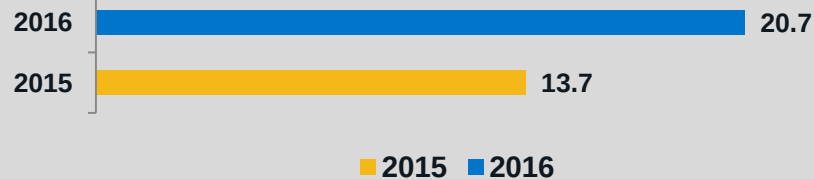
Group Embedded Value

KShs M	2016	2015	Change
Shareholders' adjusted net assets	3,117	3,167	-1.58%
Gross value of in-force business	2,760	3,412	-19.10%
Tax provision	(828)	(1,024)	-19.10%
Cost of Capital Adequacy Requirement (CAR)	(359)	(335)	7.20%
Embedded value	4,690	5,220	-10.20%

EV impacted adversely by:

- ⊗ Lower value of in-force book resulting from lower new business volumes in the life business
- ⊗ Low profit resulting from unrealised losses as well as impairment of financial assets recorded in 2016

Assets Under Management



Key Ratios

	2015	2016
Basic earnings / (loss) per share	(0.43)	0.63
Dividends per share	-	-
Market capitalisation - Year end (KShs. M)	8,640	3,996



2016 Subsidiary business performance



Sanlam General Insurance



95% reduction in underwriting loss in line with growth in top line and prudent reserving

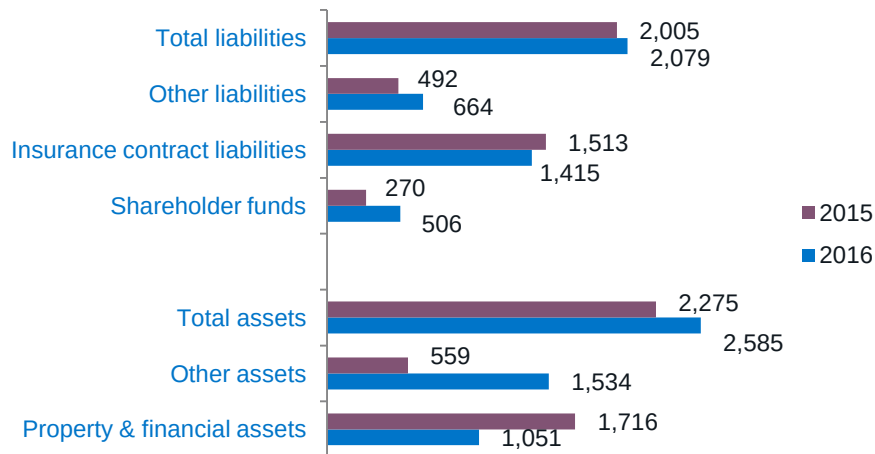
Statement of comprehensive income	2016 KShs M	2015 KShs M	Growth %
Gross written premium	1,002	633	58%
Gross earned premium	828	619	34%
Reinsurance premium ceded	(180)	(128)	41%
Net earned premium	648	491	32%
Commissions earned	35	37	-5%
Total income	683	528	29%
Claims expense	135	538	-75%
Commissions Payable	92	67	37%
Operating Expenses	482	435	11%
Total Outgo	709	1,040	-32%
Underwriting profit	(26)	(512)	-95%
Investment and other Income	1	210	-100%
Loss before tax	(25)	(302)	-92%
Tax (expense)/charge	(12)	131	-109%
Loss for the year	(37)	(172)	-78%
Comprehensive income	23	48	-52%
Total comprehensive Loss	(14)	(124)	-89%

Key Ratios

Claims ratio	21%	110%
Expense ratio	49%	69%
Retention ratio	82%	80%
Commission ratio (gross)	11%	11%

6% reduction in insurance contract liabilities in line with improved motor: non motor business mix

Statement of Financial Position



➤ Focused on a healthy business mix & profitable underwriting

Sanlam Life Insurance Limited

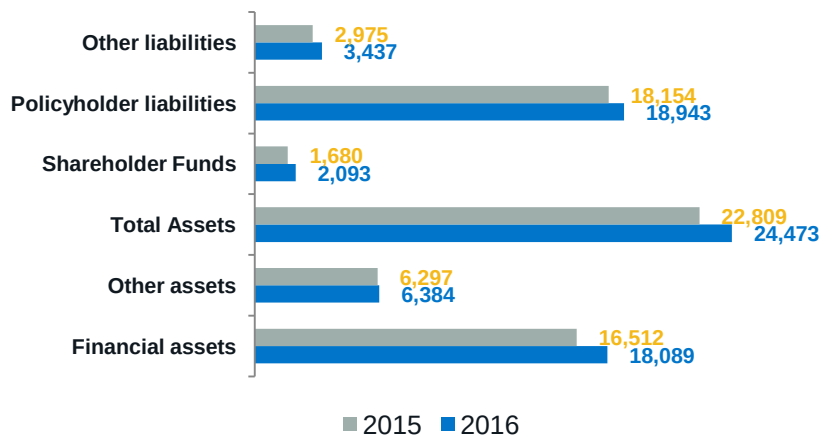


88% growth in PBT driven by a significant growth in returns from fixed income securities

Statement of profit or loss	2016 KShs M	2015 KShs M	Growth %
Gross premium income	4,396	4,643	-5%
Net premium income	4,184	4,376	-4%
Investment income	2,082	1,391	50%
Other income	66	51	29%
Total revenue	6,332	5,818	9%
Net benefits and claims	(4,344)	(4,017)	8%
Commission expenses	(569)	(762)	-25%
Operating expenses	(789)	(703)	12%
Profit before taxation	630	336	88%
Income tax expense	(218)	(132)	65%
Profit for the year	412	204	102%
Key Ratios			
Combined expense ratio (Net)	32%	33%	
Retention ratio	95%	94%	
Claims Ratio	86%	74%	

Growth in total assets driven by 10% growth in financial assets backing annuities

Statement of Financial Position



Key Ratios	2016	2015
Capital Adequacy Ratio	133%	133%
Value of New Business (KShs'000)	(88,203)	108,287

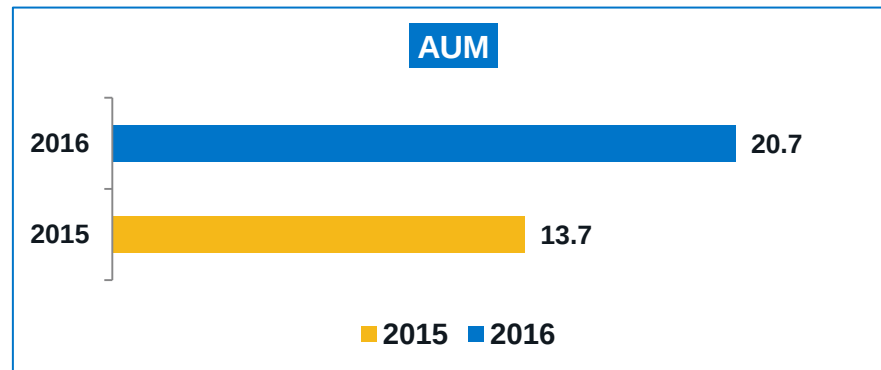
Sanlam Investments Limited



61% growth in PBT driven by growth in fee & performance income and prudent expense management

Statement of profit or loss	2016	2015	Growth
	KShs M	KShs M	%
Fee income	156	119	31%
Administration fees	(12)	(13)	-8%
Operating expenses	(98)	(82)	20%
Profit before tax	46	24	92%
Income tax expense	(15)	(9)	67%
Profit for the year	31	15	107%

51% growth in AUM driven by growth in unit trusts and pension funds



- Growth in fee income driven by a 51% growth in AUMs and performance fees
- Gross margin increased from 20% to 21%



questions[®]

thank you 

